

SUDAN

Table 1 2021

Population, million	44.9
GDP, current US\$ billion	34.3
GDP per capita, current US\$	764.3
International poverty rate (\$2.15) ^a	15.3
Lower middle-income poverty rate (\$3.65) ^a	49.7
Upper middle-income poverty rate (\$6.85) ^a	86.2
Gini index ^a	34.2
School enrollment, primary (% gross) ^b	79.0
Life expectancy at birth, years ^b	65.5
Total GHG emissions (mtCO2e)	127.1

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2014), 2017 PPPs.

b/ WDI for School enrollment (2018); Life expectancy (2020).

Real GDP growth is projected at 0.3 percent in 2022, following a contraction in 2021. Annual inflation remains in triple digits, and balance of payments pressures have increased due to high global food and fuel prices from the Ukraine-Russia war. Extreme poverty is estimated to have increased in 2021, and the political impasse may delay HIPC completion, undermining efforts to tackle significant external debt vulnerabilities. Failure to reach domestic political consensus is a key downside risk.

Key conditions and challenges

The political impasse that started with the October 2021 military takeover has severely impacted the Sudanese economy. Grants were expected to provide almost one-third of revenues in 2021-2022, but international assistance has been on hold since the military takeover. The pause in external grants caused a depreciation of the SDG, weakening the balance of payments. This has been exacerbated by the Ukraine war because Sudan imports about half its wheat from Russia. As a result, higher global food prices, coupled with higher import needs have raised import costs, worsening the balance of payments, and food insecurity. The World Food Program projects that as much as 39 percent of the population could become food insecure by the Fall of 2022. Recent floods could further devastate agriculture production, displacing populations, and worsening household welfare.

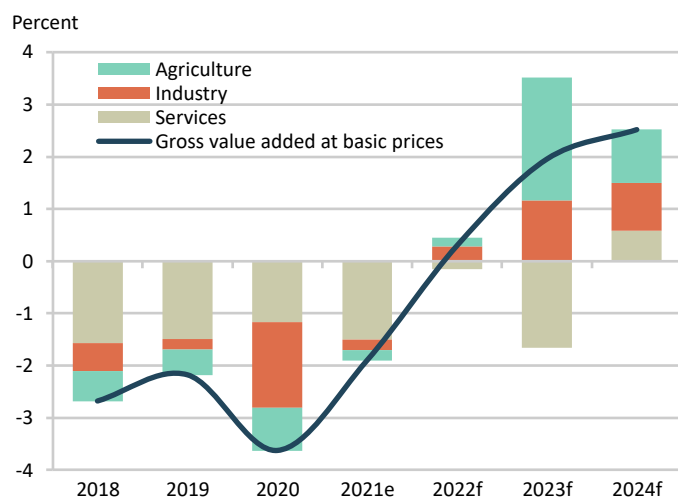
Reduced fiscal space has caused the government to cut public expenditures, limiting much-needed investment and service delivery spending. Protests and ongoing civil disturbances have disrupted trade and food distribution channels, including blockades of some national trade routes. This has stalled growth. The country faces a dilemma of either raising prices and potentially exacerbating unrest or increasing subsidies, and returning to monetization of a larger fiscal deficit at the risk of serious

macroeconomic destabilization. Reforms are needed to stimulate growth and contain inflation. Sudan plans to reach HIPC completion point in the coming years and has remained current on its debt servicing to the IMF and World Bank. Failure to reach domestic political consensus is a key downside risk; the economy remains highly vulnerable to external shocks amidst limited policy buffers.

Recent developments

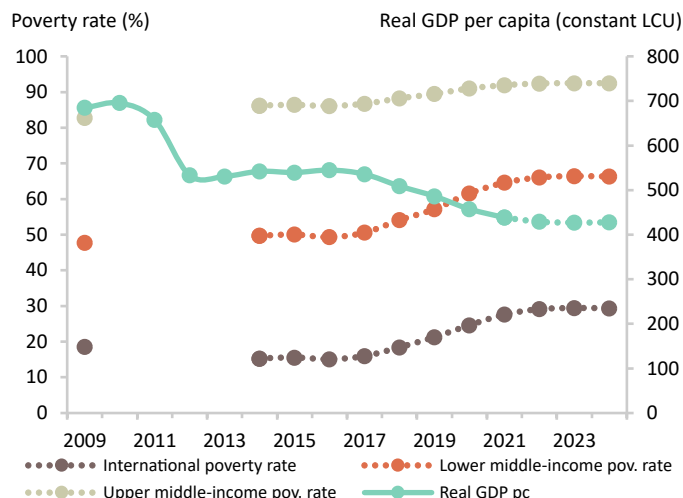
The October 2021 military takeover coupled with the pause in donor support led to an estimated 2 percent growth contraction in 2021. Economic activity continued to stall during 2022H1, largely due to reduced mobility and disruption of critical business services, including logistics and telecommunications. But increased public spending on wages and goods and services, coupled with higher exports of gold and live animals, provided some support to the economy. Although declining, inflation remains extremely high at 150 percent in June 2022, following a significant reduction in commodity subsidies in 2021, and more recently due to higher global food and fuel prices arising from the Ukraine war. Following a shift to a freely floating exchange rate in early March 2022, the Pound depreciated from SDG600 to SDG800 to the dollar in one week. However, following a reversion to a managed float in late March, it appreciated back to SDG680 on the parallel market and SDG585 on the formal market. In 2022Q1,

FIGURE 1 Sudan / Real GDP growth and sectoral contributions to real GDP growth



Sources: National Bureau of Statistics and World Bank's Staff Calculations.

FIGURE 2 Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

following a US\$46.47 million drawdown, reserves are roughly US\$1.6 billion (or 2.1 months of imports).

In the wake of the political impasse and pause in grants, the authorities significantly cut subsidies on fuel, wheat, and medicines and reduced capital spending, narrowing the fiscal deficit in 2021. With lower spending, overall public debt declined to 215.6 percent of GDP in 2021 (from 249.1 percent in 2020). A portion of the savings financed higher spending on wages, social transfers, and electricity subsidies in 2022H1. Between H12021 and H12022, the deficit declined from SDG45.8 million to SDG 37.1 million, driven by higher nontax revenues, goods and services taxes, and direct taxes.

Based on the latest household survey (2014) and GDP growth projections, poverty continued to increase from 18.4 percent in 2018 to 29.1 percent in 2022, at a line of \$2.15/day (in 2017 PPPs). The protracted economic crises, compounded by COVID-19, the military takeover in October 2021, the Ukraine war, food insecurity, and climate shocks are expected to have contributed to nearly 10 percentage points

increase in extreme poverty. Cash and food transfer programs could help assist at-risk populations.

Outlook

Growth is expected to average around 2 percent over 2023-2024, driven by agriculture, especially exports of livestock, as well as mining and a recovery of services. Inflation is expected to decline but remain high, following the government's commitment to contain the fiscal deficit and limit monetization.

>Balance of payment pressures on the exchange rate will continue into 2023, mainly due to the fallout from the Ukraine crisis. Sudan will need to import a substantial amount of food and wheat at much higher prices. Higher fuel prices will not adversely affect the balance of payments because higher inflows from crude exports and transit fees from South Sudan almost exactly offset higher payments for petroleum and fuel imports. However, pressures could ease somewhat if the political

impasse is resolved in the coming months, prior to the start of 2023, and Sudan reengages with the international community.

The fiscal deficit is projected to average around 2 percent over 2023-2024. In the absence of grants to finance increased wages and transfers, the authorities are expected to delay capital spending and rely on trade receipts and revenues from exports of gold and animal products. Total expenditures are expected to average 12.4 percent of GDP, while total revenues as a share of GDP are expected to average 10.2 percent of GDP. With the authorities expected to limit the contraction of additional debt and maintain its debt service obligations, the debt-to-GDP should decline further; even so, debt ratios are expected to remain elevated with delays in reaching HIPC completion point.

Substantial efforts are needed to curb the poverty trend. Projections suggest that extreme poverty will continue to increase until 2023. Even though extreme poverty is expected to stagnate in 2024, poverty rates measured by all poverty lines are still higher than the pre-Russia-Ukraine conflict levels in 2024.

TABLE 2 Sudan / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2019	2020	2021	2022e	2023f	2024f
Real GDP growth, at constant market prices	-2.2	-3.6	-1.9	0.3	2.0	2.5
Private Consumption	-0.6	-3.4	-0.8	0.3	2.1	2.7
Government Consumption	-6.5	-8.8	-9.8	2.5	2.7	3.3
Gross Fixed Capital Investment	-0.2	-2.0	-2.1	-1.8	2.0	3.0
Exports, Goods and Services	7.0	5.2	2.0	3.5	4.0	5.2
Imports, Goods and Services	13.8	-9.0	-0.5	4.8	5.0	6.7
Real GDP growth, at constant factor prices	-2.2	-3.6	-1.9	0.2	1.9	2.5
Agriculture	-1.5	-2.5	-0.6	0.5	2.0	2.9
Industry	-0.7	-5.7	-0.7	1.0	2.0	3.1
Services	-3.8	-3.0	-3.9	-0.6	1.9	1.8
Inflation (Consumer Price Index)	51.0	163.3	359.7	190.0	105.0	47.0
Current Account Balance (% of GDP)	-15.6	-17.5	-5.9	-6.6	-7.0	-6.6
Net Foreign Direct Investment Inflow (% of GDP)	-2.9	-2.7	-1.6	-1.6	-1.8	-2.3
Fiscal Balance (% of GDP)	-10.9	-5.9	-0.3	-2.7	-2.3	-1.6
Debt (% of GDP)^a	200.3	249.1	215.6	183.8	168.5	157.7
Primary Balance (% of GDP)	-10.7	-5.9	-0.3	-2.4	-1.9	-1.2
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	21.3	24.6	27.6	29.1	29.4	29.4
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	57.2	61.6	64.6	66.1	66.4	66.3
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	89.5	91.0	92.0	92.4	92.5	92.5
GHG emissions growth (mtCO₂e)	-0.3	-1.3	-1.1	-0.7	-0.4	-0.1
Energy related GHG emissions (% of total)	20.8	19.8	19.1	18.5	17.8	17.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast. Poverty lines are expressed in 2017 PPP, resulting in changes from earlier editions that used 2011 PPP. See pip.worldbank.org.

a/ Debt projections do not include any restructuring achieved during the HIPC process.

b/ Calculations based on 2014-NBHS. Actual data: 2014. Nowcast: 2015-2021. Forecasts are from 2022 to 2024.

c/ Projection using neutral distribution (2014) with pass-through = 1 (High (1)) based on GDP per capita in constant LCU.